23
eUCP

Learning objectives

This chapter includes a brief history and outline of eUCP.

By the end of this chapter, you should be able to:

- describe the features of eUCP; and
- understand the contrast between the rules in UCP 600 and those under eUCP.

23.1 eUCP

The ICC published its *Supplement to the Uniform Customs and Practice for Documentary Credits for Electronic Presentations* (eUCP) on 31 March 2002. At the time, they were the most quickly developed set of ICC rules, taking just 18 months from the initial drafting to publication.

The eUCP represented the first move by the ICC Banking Commission to expand the reach of UCP to cater for dematerialised documentation transactions transmitted electronically.

The rules were updated in 2007 to accompany the publication of UCP 600.

23.2 The key features of eUCP

The key features of eUCP can be summarised as follows.

- eUCP version 1.1 is a supplement to, and must be used in conjunction with, UCP 600.

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- It is flexible and may be used to facilitate mixed presentations comprising part-paper and part-electronic presentations, or fully electronic presentations.

- It is intended to be dynamic. The current version 1.1 represents the second version and is a foundation for the future revisions that will be needed to keep pace with changes to technology and practice.

- It is structured to align with UCP 600 and its rules follow a logical sequence of activities undertaken in an electronic presentation.

- It provides definitions of terminology used within its text.

- The provisions of its articles, in relation to UCP 600, may be categorised into four groupings, as follows.

  - Provisions of UCP 600 that have no parallel in the eUCP and are applicable to an eUCP documentary credit.

    For example, the provisions regarding the undertaking and obligations of the issuing bank, confirming bank and advising bank, and the limitation on the obligations of a nominated bank that does not act pursuant to its nomination contained in UCP 600, articles 2, 4–9 and 12, remain unchanged.

  - Provisions of the eUCP that add to, but do not contradict, UCP 600 rules with respect to an electronic record and which do not impact the UCP 600 provisions with respect to paper documents.

    For example, **eUCP, article e3(a)**, provides as follows.

Definitions

a. Where the following terms are used in the UCP, for the purposes of applying the UCP to an electronic record presented under an eUCP credit, the term:

i. **appear on their face** and the like shall apply to examination of the data content of an electronic record.

ii. **document** shall include an electronic record.

iii. **place for presentation** of electronic records means an electronic address.

iv. **sign** and the like shall include an electronic signature.

v. **superimposed**, **notation** or **stamped** means data content whose supplementary character is apparent in an electronic record.

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- Provisions of the eUCP that differ from the treatment of paper documents under UCP 600, but which relate only to an electronic record so that there is no change to the provisions of UCP 600 as to paper documents under an eUCP documentary credit.

  For example, **eUCP, articles e11 and e12**, provide as follows.

Article e11

Corruption of an Electronic Record after Presentation

a. If an electronic record that has been received by the issuing bank, confirming bank, or another nominated bank appears to have been corrupted, the bank may inform the presenter and may request that the electronic record be re-presented.

b. If the bank requests that an electronic record be re-presented:

i. the time for examination is suspended and resumes when the presenter re-presents the electronic record; and

ii. if the nominated bank is not the confirming bank, it must provide the issuing bank and any confirming bank with notice of the request for re-presentation and inform it of the suspension; but

iii. if the same electronic record is not re-presented within thirty (30) calendar days, the bank may treat the electronic record as not presented, and

iv. any deadlines are not extended.

Article e12

Additional Disclaimer of Liability for Presentation of Electronic Records under eUCP

By satisfying itself as to the apparent authenticity of an electronic record, banks assume no liability for the identity of the sender, source of the information or its complete and unaltered character other than that which is apparent in the electronic record received by the use of a commercially acceptable data process for the receipt, authentication and identification of electronic records.

- Provisions of the eUCP that change the UCP 600 rule under which the documentary credit is subject to eUCP and which are applicable whether or not they apply to an electronic record or a paper document presented under an eUCP documentary credit.

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eUCP, articles e2, e5(c) and (e), e7(a) and (b), and e8, are examples. **eUCP, article e2**, reads as follows.

> **Relationship of the eUCP to the UCP**
>
> a. A credit subject to the eUCP ("eUCP credit") is also subject to the UCP without express incorporation of the UCP.
>
> b. Where the eUCP applies, its provisions shall prevail to the extent that they would produce a result different from the application of the UCP.
>
> c. If an eUCP credit allows the beneficiary to choose between presentation of paper documents or electronic records and it chooses to present only paper documents, the UCP alone shall apply to that presentation. If only paper documents are permitted under an eUCP credit, the UCP alone shall apply.

- Documentary credits issued subject to eUCP version 1.1 are automatically subject to UCP 600 without specific reference.
- Under a documentary credit issued subject to the eUCP, the provisions of the eUCP prevail over those of UCP 600 in the event of their application providing different results.

Questions

1. Which of the following is true if a bank requests that an electronic record be re-presented because the initial presentation appears to be corrupted?

   A. The date of the re-presentation becomes the new presentation date.

   B. The beneficiary has 21 calendar days in which to re-present the electronic record.

   C. The time for examination is suspended and resumes when the re-presented record is received.

   D. The re-presentation may be with paper documents, even if the documentary credit calls for electronic records.

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2. Complete the following sentence.

   Notice of completeness under eUCP is sent by the…

   A. confirming or nominated bank to the issuing bank, confirming receipt of electronic and paper documents.

   B. presenting bank to the confirming bank or the issuing bank, signifying that the presentation is complete.

   C. beneficiary to the bank to which presentation is made, signifying that the presentation is complete.

   D. bank to which presentation is made, to the beneficiary, signifying that the bank has received the complete presentation.

3. Which of the following is true of eUCP?

   A. They are a set of stand-alone rules.

   B. They are a supplement to UCP 600.

   C. They are a publication that indicates the international banking practice that applies to electronic records.

   D. They are a set of guidelines for use with electronic records.

4. Which of the following is true of a credit that is subject to eUCP?

   A. It is also subject to UCP 600 without express incorporation of the UCP.

   B. It is also subject to UCP 600 if there is express incorporation of the UCP.

   C. It is subject to the UCP if the parties so agree.

   D. It is subject to the UCP if the parties so agree in a written agreement.

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5. If an eUCP credit does not specify the format in which electronic records are to be presented, how may the electronic record be presented?

   A. In paper format only

   B. In a PDF attached to an email

   C. In any format

   D. As a scanned or faxed form

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